

women entrepreneurs.

A notable feature of this policy is the introduction of a new choose-your-incentive initiative that aims to provide greater flexibility and ease for investors. Under this initiative, investors will be able to select incentives based on their specific business requirements, the policy states.

Patel sees the new industrial policy as a roadmap to transform the state into a global industrial powerhouse. Between January 2000 and March 2026, Gujarat attracted cumulative foreign direct investment worth \$74.6 billion, according to him.

Regional Economic Master Plans and Viksit Gujarat@2047 roadmap will further enhance export competitiveness through multi-sector export hubs and next-generation industrial corridors," he stressed.

Industry body ASSOCHAM representatives say Gujarat's industrial success offers broader lessons to India's states. "When infrastructure works, power is reliable, approvals are responsive, policies are predictable and global connectivity is strong, investors are more willing to commit capital and, importantly, to reinvest. That is the model Gujarat has built over time," says Thakkar.

that Gujarat's workforce productivity and satisfaction with technical skills remain moderate, with scope for improvement through better alignment of training with real-time industry needs, to enhance the overall quality of the workforce.

"There is a noticeable disparity in the maintenance and management of state-run Gujarat Maritime Board ports, reflecting scope for improvement to ensure seamless cargo handling and transportation," the report said.

ASSOCHAM notes that advanced manufacturing will require technicians and engineers with highly specific skills. Gujarat will need stronger industry-academia partnerships, modernised ITIs, sector-specific training centres and apprenticeship programmes linked directly to factory requirements, it said.

Further, while Gujarat has strong national highways and efficient private ports, investor feedback points to gaps in municipal and internal roads, ASSOCHAM highlighted. These may appear to be civic issues, but for industry they directly affect logistics costs, worker mobility and supply-chain reliability, it said.

The industry body also called for strengthening social infrastructure as worker housing, healthcare, urban mobility and other public services will increasingly influence the ability of companies to attract and retain skilled talent.

The Chief Minister noted that Gujarat's Industrial Policy 2026 does support anchor institutes, specialised skill development centres, training facilities in GIDC estates and skill development initiatives for MSMEs. **BT**

*With inputs from Chetan Bhutani*

@thenachiket

## 72 | **GUJARAT'S POSITION AT THE TOP OF INDIA'S MANUFACTURING AND INVESTMENT LANDSCAPE IS THE OUTCOME OF A LONG-TERM INDUSTRIAL MODEL BUILT AROUND INSTITUTIONAL FACILITATION"**

"We have strengthened ease of doing business through single-window clearance mechanisms, simplified regulatory processes and decriminalisation of more than 500 provisions under the Gujarat Jan Vishwas (Amendment of Provisions) Act, 2025," Patel told *Business Today*.

Gujarat's manufacturing GVA rose to ₹4.4 lakh crore in 2024-25, from nearly ₹2 lakh crore in 2013-14. Chief Minister Patel says it is the result of a long-term strategy built on three key pillars of industrial diversification, large-scale investments and cluster-based development.

"Investors choose Gujarat for its efficient administration, skilled workforce and integrated industrial ecosystem. Going forward, the

According to a Rajkot-based businessman, Gujarat once faced the same typical problems that used to be visible in other parts of India, such as acquisition of land, provision of utilities and availability of logistics. However, the state fixed those problems at scale, and that is why it's a manufacturing hub today.

As per Gujarat Industrial Development Corp (GIDC), there are over 28,000 factories in the state. Around 239 industrial estates have been developed in strategic locations with adequate infrastructure like roads, water and drainage, gas and power infrastructure among other things in place.

However, the state is not without its challenges. NITI Aayog notes